



FY2025

Audited Financial Statements

For the Year Ended June 30, 2025

INDEPENDENT AUDITOR'S OPINION

UNMODIFIED OPINION · The Best Possible Outcome

The independent auditors at Wesley Peachtree Group, CPAs & Business Strategists issued an unmodified opinion on the financial statements of Turner Theological Seminary for the year ended June 30, 2025.

Issued March 2, 2026, the opinion states that the financial statements present fairly, in all material respects, the financial position of the organization in accordance with accounting principles generally accepted in the United States of America.

An unmodified opinion is the highest level of assurance an auditor can provide.

Three Assurances Provided:

- (1) Financial position is accurately stated as of June 30, 2025 ·*
- (2) Revenues and expenses are properly recorded for the year ended June 30, 2025 ·*
- (3) Cash flows are properly stated for the year ended June 30, 2025*



STATEMENT OF FINANCIAL POSITION

ASSETS — June 30, 2025 vs. 2024

Cash & Cash Equivalents: \$127,330 (2025) vs. \$341,566 (2024)

Accounts Receivable: \$24,296 (2025) vs. \$7,866 (2024)

Property & Equipment, Net: \$1,334,204 (2025) vs. \$1,012,105 (2024)

Endowment Investments: \$405,021 (2025) vs. \$366,950 (2024)

TOTAL ASSETS: \$1,890,851 (2025) vs. \$1,728,487 (2024)

Increase of \$162,364 year over year

Key Insight: Total liquidity is \$780,153 —including \$24K receivables and \$633K available on the line of credit.

LIABILITIES & NET ASSETS

Line of Credit: \$866,645 (new in FY2025)
· 8.5% interest · matures August 3, 2027

Deferred Revenue: \$19,000 (2025) vs. \$640,220 (2024)

TOTAL LIABILITIES: \$1,024,810 (2025) vs. \$760,820 (2024)

NET ASSETS—Without Donor Restrictions: \$510,204

NET ASSETS—With Donor Restrictions: \$355,837

TOTAL NET ASSETS: \$866,041 (2025) vs. \$967,667 (2024)

Note: Endowment grew from \$337K to \$405K. Zero distributions taken in FY2025. Physical plant investment increased \$322K to enable housing revenue.

MANAGEMENT LETTER RESPONSES

Finding 2024 - 003:
Program - related expenses now aligned to educational mission per NACUBO standards. Controller implemented functional classification between program services and management & general.

Status: Implemented.

Expense Allocation

Finding 2024 - 004:
Expenditures now recorded as restricted or unrestricted with account classes by department, program, and grant. NACUBO Reporting Manual adopted as reference standard.

Status: Implemented.

Chart of Accounts

2023 findings resolved:
Endowment records properly maintained.
Month - end close checklist operational.
Expense categorization corrected.
Bank reconciliations current.
Separation of duties reviewed and strengthened.

Status: All Implemented

Prior Year Items

COMPOSITE FINANCIAL HEALTH SCORE

FY2025 Score: 0.6 · Acceptable Range: -1.00 to 3.00

Primary Reserve Ratio: -0.3993 | Weight: 40% → Negative ratio reflects \$1.33M capital investment in Talbot Hall infrastructure, not financial distress. Ratio improves as housing revenue matures.

Equity Ratio: 0.4580 | Weight: 40% → 46% of total assets are net assets. Strongest of the three ratios — signals institutional stability and balance sheet health.

Net Income Ratio: -0.0541 | Weight: 20% → FY2025 transition year deficit of (\$101,626) driven by \$668K in mission-aligned scholarship investment.

Conclusion: Composite score of 0.6 is within the Acceptable range. Capital investment strategy positions TTS for improved ratios in FY2026 and beyond.



THE FINANCIAL STORY OF FY2025



Two decisions explain FY2025 —and both were deliberate.

Scholarship Investment: \$668,132 in institutionally funded aid enabled enrollment growth. Net tuition compressed to \$61,171 from \$729,303 gross. Enrollment grew from 14 students Fall 2024 to 54 in Fall 2025 as a direct result.

Capital Investment: \$322,099 invested in Talbot Hall expanded housing capacity. Auxiliary revenue grew from \$610,006 in FY2024 to \$1,279,562 in FY2025 —a 110% increase.

The deficit of (\$101,626) was the cost of building the revenue engine.

FY2026 YTD data confirms the strategy is working.

STATEMENT OF ACTIVITIES

Total Revenue: \$1,973,923 (2025) vs. \$1,494,174 (2024)
—up \$479,749.

Total Expenses: \$2,075,549 (2025) vs. \$1,413,849 (2024).

Net Change in Net Assets:
(\$101,626) in FY2025 vs. surplus of \$80,325 in FY2024.

Key driver: \$668,132 in institutionally funded scholarships
—a mission investment in student access.

Auxiliary enterprise revenue (Talbot Hall housing)
- doubled from \$610,006 to \$1,279,562.

01 Tuition & Fees (gross): \$729,303
Less Scholarships: (\$668,132)
Net Tuition Revenue: \$61,171

02 Auxiliary Enterprise — Housing: \$1,279,562
Private Gifts & Grants: \$594,121
Investment Income: \$38,266
TOTAL REVENUE: \$1,973,923

03 Program Services: \$1,091,965
Management & General: \$983,584
TOTAL EXPENSES: \$2,075,549

04 Change in Net Assets: (\$101,626)
Total Assets INCREASED by \$162,364
despite deficit — driven by capital
investment in Talbot Hall and
endowment growth.

FY2026 YEAR TO-DATE PERFORMANCE

Through February 28, 2026 —8 Months of FY2026

Total Revenue: \$1,782,964 | Net Operating Income: \$256,075
—positive reversal from FY2025 deficit

Housing Revenue: \$1,163,154 —41% above budget of \$825,903
MDiv Tuition Gross: \$708,380 —double the \$353,600 budget
Cash on Hand: \$123,206 | Total Debt (LOC + CC): \$958,538

Enrollment: 64 MDiv students Spring 2026
—up from 54 Fall 2025 and 33 Spring 2025

Salary Realignment: \$13,750/month savings
—\$165K annualized impact



STRATEGIC MOMENTUM

Key Milestones —April 2026

- Lilly Endowment: \$10M collaborative grant awarded
—MOU with 9 partner institutions in development
- Title IV / PPA: Submitted March 20, 2026 to USDE
—pending approval, target Spring 2027
- SACSCOC Deficit Petition:
 - Exception submitted March 31, 2026
 - Approved April 23, 2026*
- GEMA Security Grant: \$200,000 application submitted
—pending
- Endowment: \$405,021 at FY25 year - end
—10% growth —goal \$1M by December 2026
- TRACS Candidacy: Confirmed in FY2025 audit
—Title IV pathway open

FY2026 Revenue Targets Through June 30, 2026

- President's Initiative: \$300,000
- Advancement: \$50,000
- Scholarship Breakfast: \$50,000 net
- Housing: 70% occupancy

Total Target: \$400,000+

Thank You

Questions & Discussion Welcome

